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US Rates Strategy | North America

Buy 10y TIPS with Payer Protection

10 year TIPS appear attractive to us at current levels. A potentially lower Fed policy trough rate, continued downside surprises in CPI prints, and a normalizing core CPI-core PCE wedge can act in favor of this trade. Beta weighted breakevens near lows suggest TIPS are cheap versus nominals.

Key Takeaways

- 10y TIPS offer attractive risk/reward, as real yields are near high end of its range and current Fed pricing looks hawkish versus our economists' outlook.
- 5y5y and 2y3y CPI swap forwards have moved alongside lower oil prices, signaling confidence in the Fed's price stability mandate
- Core CPI ex-airfares and hotels continues to cool. Eight of the past 12 headline CPI prints surprising to the downside also signal a cooling inflation trend.
- Beta-weighted breakevens are near range lows, implying TIPS look cheap versus nominal Treasuries. Long 10y TIPS also has a positive carry.
- The upcoming payrolls print is a risk to the trade, and investors can partially hedge their portfolios by owning a 1m10y payer swaption.

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Inflation Linked Bonds

United States | Buy 10y TIPS at attractive levels

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With the US-Iran MOU now in place, inflation forwards have moved lower as oil prices have declined over the past few weeks. This shows that investors trust the Fed's ability to maintain price stability over the longer horizon. 5y5y and 2y3y CPI swaps are near levels when we had cuts priced in February 2026 ([Exhibit 1](#)).

Brent is now below \$80/bbl and our strategists have [lowered](#) their forecasts for the coming quarters. Despite normalized oil prices, Fed's pricing of trough rate is still at 3.6% (MSTRUFUS Index on Bloomberg), around 75bp higher than it was three months ago. With this rise in trough rate, real yields across the curve have moved higher ([Exhibit 2](#)).

This move can be attributed to **a perceived hawkish stance from the Fed, continued upside surprises in past three payroll prints and a wide core PCE - core CPI wedge**. On a year-over-year basis, core CPI fixings also seem elevated, with part of the move pointing to a growth-related inflation premium being priced in.

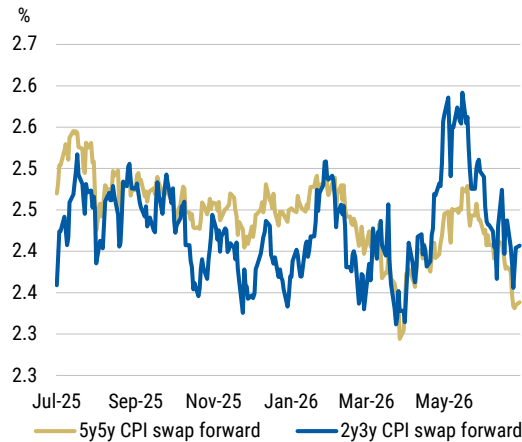
On the other hand, the **previous eight out of 12 headline CPI prints have surprised to the downside** as the underlying trend in inflation seems to be [cooling](#) versus expectations. Our [economists' forecast moderating inflation](#) over the coming months with core CPI at 2.4% Y/Y by May 2027 and our NFP [forecasts](#) for June is at 90k below consensus at 115k.

We suggest investors buy 10 year TIPS at current levels based on the following reasons:

1. 10-year real yields are near high end of its range. If two cuts based on our economists' forecasts realize, trough rate can move lower taking 10y TIPS yield lower with it.
2. Inflation is on a cooling trend and continues to surprise to the downside. The burden of proof is on upcoming prints to show a hot print.
3. Our economists [note](#) that methodology changes to PCE prices are forthcoming and if applied retroactively, they might lower core PCE y/y inflation up to 20bp.
4. Recent decline in Treasuries was led by breakevens. Beta weighted breakevens near lows imply that TIPS are cheap versus nominals.
5. The carry profile for this trade is positive in the direction of long.

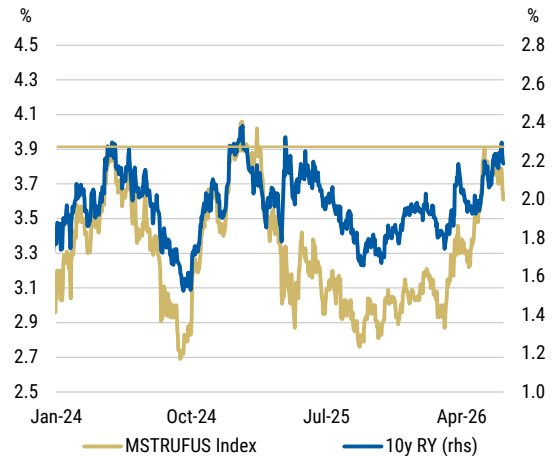
The upcoming payrolls and CPI prints for June are risks to the trade and investors can hedge this risk by owning 1m10y payer swaption along with 10 year TIPS.

Exhibit 1: CPI swap forwards signal Fed credibility is established



Source: Morgan Stanley Research, Bloomberg

Exhibit 2: 10 year real yields near higher end of the range and moves with Fed policy terminal rate



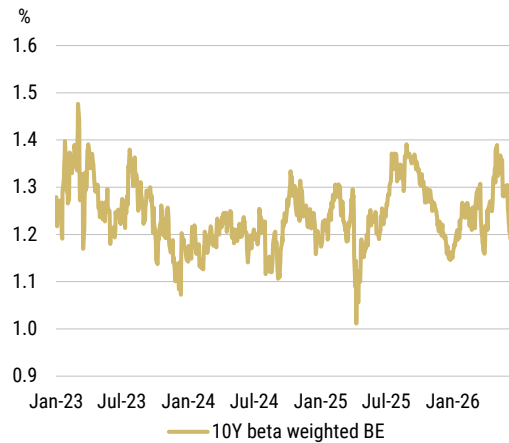
Source: Morgan Stanley Research, Bloomberg

10 year real yields show 51% R-squared if regressed over weekly changes on Fed policy terminal rate for the past five years rate. Essentially a lower 10 year real yields is a view on market pricing a dovish Fed policy than what is currently priced in.

From a relative value perspective, beta weighted breakevens help us identify if TIPS are rich or cheap versus nominals. **TIPS beta** is defined as the slope when real yields are regressed on nominal yields. The beta on 10-year real yield changes versus 10-year Treasuries for the past 10 years of data is ~ 0.7 to 0.8. In other words, under normal trading conditions, a +1bp move in nominals results in a +0.75 bp move in RY, and thus a 0.25bp widening in breakevens.

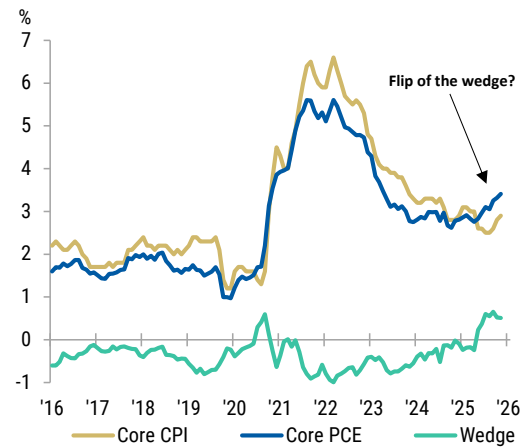
Beta-weighted 10 year breakevens defined as *beta times 10 year nominals minus 10 year real yields* is near range lows, indicating that TIPS have cheapened versus nominal Treasuries after adjusting for their historical relationship ([Exhibit 3](#)). If beta weighted breakevens revert and move higher from current levels, TIPS can outperform Treasuries. We have shown before that if volatility moves higher, beta weighted breakevens tend to mean revert from extreme levels.

Exhibit 3: Beta weighted breakevens near range lows



Source: Morgan Stanley Research, Bloomberg

Exhibit 4: New BEA methodology may help normalize this wedge

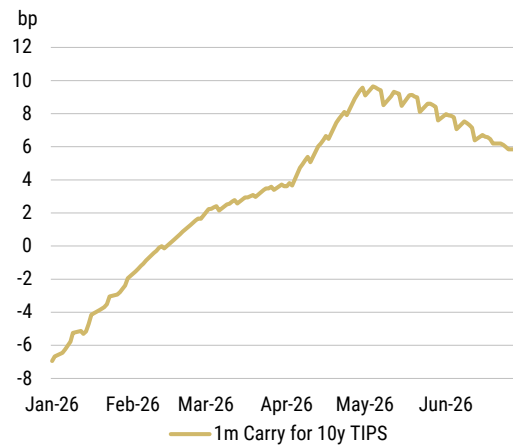


Source: Morgan Stanley Research, Bloomberg

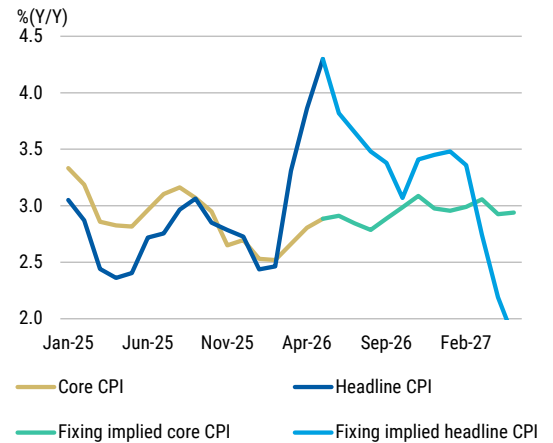
Fed's inflation target is PCE and a core PCE has moved higher versus core CPI, opposite to its usual trend ([Exhibit 4](#)). The **core PCE/core CPI wedge** is pushed wider by components like memory, software and categories like healthcare and financial-services which carry larger weights in PCE than in CPI. Our economists have this wedge normalizing for future months. A normalizing CPI-PCE wedge should act in favor of rate cuts.

Investors can track 1m TIPS **carry** for 10 year TIPS on Bloomberg using MST1001C Index which is currently at 5.8bp making this trade attractive from a carry perspective ([Exhibit 5](#)).

Headline **CPI fixings** are at 1.8% for May 2027 aided lower by negative energy commodities component of the CPI basket whereas core CPI fixings is at 2.9%, up 15bp in past two weeks ([Exhibit 6](#)). Core CPI fixings further out the curve depend on the market perception of inflation expectations and the strength in the economy. We have observed that year over year core CPI curve peak is susceptible to moves in the range of 60bp in a period of a month during the conflict (see [here](#) and [here](#)).

Exhibit 5: 1 month Carry for long 10 year TIPS is positive

Source: Morgan Stanley Research, Bloomberg

Exhibit 6: Realised and fixings implied CPI

Source: Morgan Stanley Research, Bloomberg

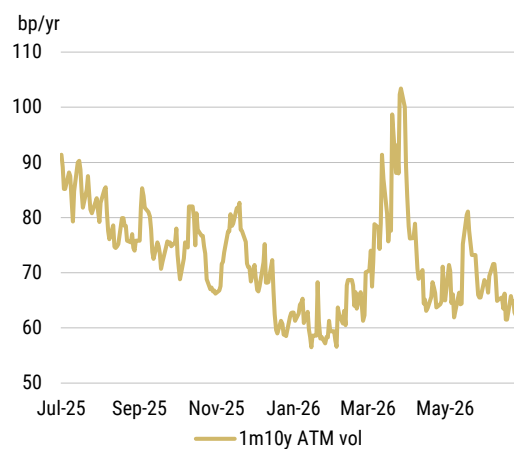
We enter 10 year TIPS at 2.21% with a target of 1.8% and a stop of 2.35%. Investors can partial hedge their portfolio by owning a payer swaption keeping in mind upcoming NFP and CPI prints.

1m10y payer swaption to hedge the trade for near term risk events

NFP releases are inherently volatile and difficult to forecast and are a near term risk to this trade. If payrolls print above our economists' expectations, the market could interpret the result as a continuation of past upside surprises signalling underlying strength in the economy. Investors looking to hedge against this risk may consider buying 1m10y payer swaptions.

In a recent [note](#), we argued that Warsh's proposed communication framework would increase the market's sensitivity to economic data surprises. However, the volatility market has yet to reprice this thesis, with 1m10y implied volatility still trading near the lower end of its recent range ([Exhibit 7](#)). This week's NFP release will provide the first meaningful test of whether market sensitivity to a Tier 1 macroeconomic data release has indeed increased.

Currently a 1m10y ATM payer costs 63c, implying that the underlying 10y rate needs to move up by 7.7bps for this payer to break-even at expiry ([Exhibit 8](#)).

Exhibit 7: Historical 1m10y implied vol

Source: Morgan Stanley Research, Bloomberg

Exhibit 8: 10y SOFR rate and terminal breakeven for a 1m10y ATM payer

Source: Morgan Stanley Research, Bloomberg

- Trade idea: Enter long 10 year TIPS at 2.22% with a target at 1.8% and a stop at 2.35%

Valuation Methodology and Risks

Below you will find a list of our current trade ideas, entry levels, entry dates, rationales, and risks.

Exhibit 9: Trade table

Inflation-Linked Bonds				
TRADE	ENTRY LEVEL	ENTRY DATE	RATIONALE	RISKS
Buy 10 year TIPS	2.22%	7/1/2026	10y TIPS offer attractive risk/reward, as real yields are near high end of its range and current Fed pricing looks hawkish versus our economists' outlook. Beta-weighted breakevens near lows suggest TIPS are cheap versus nominals. It also has a positive 1m carry.	An upside surprise in NFP and CPI prints

Source: Morgan Stanley Research

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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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